9 GROWING PAINS OF FINTECH COMPANIES

AND HOW TO OVERCOME THEM

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Introduction

Fintech startups have led a wave of innovation in the financial sector in recent years. New companies, built on modern technologies, have quickly captured market share from older, more established businesses.

As investment in fintech startups continues to rise, competition is also increasing as companies expand into a growing number of product areas, widen their customer base and target international growth.

In this race to grow and scale up, fintechs face challenges across many fronts, including improving product profitability, recruiting and retaining talent, managing risk, and complying with regulations.

In this guide, you will find an overview of the latest trends in the fintech sector around investment, technologies, products and customer markets. We then address the 9 key growing pains for fintech startups and look at how they can tackle them to ensure they are equipped to attract investment and scale up rapidly.

Fintech Trends

Fintechs are disrupting the traditional financial services sector by using new digital technologies and rapidly scalable software platforms to deliver banking products and services faster and more efficiently than incumbent banks and other players. Or, in some cases, to create entirely new product categories and business models.

The range of areas that fintechs are competing in and disrupting continues to grow. According to a McKinsey study, fintech companies have expanded from payment applications, lending and money transfers to more than 30 areas that involve advanced technologies such as AI, blockchain, cybersecurity and telematics.[1] The core market for fintechs has also widened from traditional young, high-income millennials to the unbanked, under-banked and high-risk clients that traditional financial institutions are less likely to serve.

The prototypical fintech is an agile startup, relying on business agility and speed of innovation to out-compete legacy financial institutions. Without the technology debt of larger institutions, they can build highly efficient organisations and offer products and services at vastly lower prices. Venture capital is powering much of this growth—2016 saw $12.7 billion in financing to venture-backed fintech startups globally.[2]

The fintech sector has now reached a tipping point and is poised for mainstream adoption, according to EY's fintech adoption survey.[3] Fintechs have not only established themselves in developed countries with solid financial institutions but are also making their presence felt in developing countries. Consumers are drawn to fintech services because they are simpler, more convenient, more transparent and readily personalised.

Fintech also attracts a demographic that prefers using digital channels and technologies, in other words—millennials.

One thing that impedes digital innovation in the financial services sector generally is organisational and structural silos.[4] While fintech startups are immune from this in the initial stages, silos can start creeping in as a company expands from one product, channel or geography to many, making the scale-up phase a minefield of challenges and growing pains.

[1] https://www.mckinsey.com/industries/financial-services/our-insights/cutting-through-the-noise-around-financial-technology
[2] https://www.cbinsights.com/research/fintech-vc-investor-funding-trends/
[3] EY FinTech Adoption Index 2017 – The rapid emergence of FinTech
[4] Digital Innovation: The Readiness of Financial Services Firms

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Challenges Faced by Growing Fintech Companies and How to Overcome Them

1. Securing growth capital from investors.

Fintech investment globally sped ahead at a record pace in the first six months of 2018, with $57.9 billion invested across 875 deals—up from the $38.1 billion invested in all of 2017.[5] The UK remains a hotspot, with $16 billion invested, followed by China with just over $15 billion and the US with $14 billion.

Despite that healthy investment picture, one of the biggest growth challenges for fintech startups is attracting and persuading investors to back them. Having a brilliant or unique product isn't enough in itself. Investors will also look at the business infrastructure, its sustainability and potential to scale easily.

In addition to these company-related elements, fintechs must contend with macro factors, such as the current state of the economy and regulatory uncertainty within the industry. That means the timing has got to be just right for investors, as well as being a good fit for their portfolios.

According to KPMG's bi-annual Pulse of Fintech report, hot areas for fintech investment during 2018 include insurtech, regtech and B2B fintech solutions. There is also a focus on a broader range of innovative technologies, particularly AI and Robotic Process Automation (RPA). Fintech investments have also expanded geographically, with significant activity in Brazil, Europe and Asia.[6]

It is vital for startups to keep on top of the latest investment trends when trying to attract funding. For example, the KPMG report highlights open banking, regtech and blockchain as areas likely to see increased investment activity over the next 24 months. But also take note of areas, such as payments, where investors are becoming more cautious about investing in early stage startups due to fear of market saturation.

Ultimately, a fintech startup must be prepared to be heavily scrutinised by any potential investor. Beyond having a great product or service and a slick pitch deck, startups must show effort and investment into hiring the best talent and building a modern, agile IT infrastructure that is equipped to scale globally as the business expands.

Cloud-based systems don't require the heavy capex investment that traditional IT systems require and can be quickly and easily scaled up or down in response to demand.

And having an integrated ERP and financial system that provides a single, consistent and real-time view of the company's data enables more accurate and compliant reporting and forecasting.

[5] https://home.kpmg.com/uk/en/home/media/press-releases/2018/07/uk-global-leader-for-fintech-investment-in-h1-2018-.html
[6] https://assets.kpmg.com/content/dam/kpmg/xx/pdf/2018/07/h1-2018-pulse-of-fintech.pdf

2. Developing a core target market.

This is a key issue for any startup but it is particularly important for fintechs entering the highly competitive and cut-throat world of financial services.

It's unrealistic to be all things to all people. Fintech startups need to pick their core market carefully and then target it with a laser-like focus.

Millennials in particular are already embracing non-traditional channels for banking and financial services. For example, PWC predicts that by 2020 social media will be the primary channel to connect and engage with customers, and the place where customers will do most of their research on financial services products.[7] The 2017 EY Fintech Adoption Index also shows that early adopters of fintech tend to be young, high-income, high-value customers, with one in four respondents aged 25 to 34 having used at least two fintech products in the previous six months.[8]

However, it's not just about high-earning and digitally-savvy millennials. Other key market segments to whom fintechs are broadening their offerings include those ignored or under-served by traditional banks, such as small businesses and the under-banked.[9]

Such new offerings could include helping students manage their money better, offering payment and P2P lending services to low-income workers without bank accounts, or alternative lending platforms for SMEs.

Online lending platform Avant identified its target market as near-prime customers that most banks were failing to serve. Dan Seikel, Director of Finance at Avant, said: "When we first started our business we had really grand aspirations that we were going to completely disrupt the banks. We began our operations and we realised banks weren't really in our market. We're focused on near-prime customers and the banks have just neglected that customer segment in recent years."[10]

Also think about geographical, as well as demographic, markets. The EY Adoption Index shows that, while the average fintech adoption rate globally has risen to 33 percent (from 16 percent in 2015), it's 46 percent in the emerging markets of Brazil, China, India, Mexico and South Africa.

[7] https://www.pwc.com/gx/en/industries/financial-services/publications/fintech-is-reshaping-banking.html
[8] https://www.ey.com/Publication/vwLUAssets/ey-fintech-adoption-index-2017/$FILE/ey-fintech-adoption-index-2017.pdf
[9] https://www.mckinsey.com/industries/financial-services/our-insights/cutting-through-the-noise-around-financial-technology
[10] http://www.netsuiteblogs.com/suiteworld-2017-fintech-keynote-the-fintech-revolution

3. Define a clear product offering.

A clearly defined product or service goes hand in hand with developing a core target market. Fintechs are already disrupting the status quo in areas such as payments, lending, investments and insurance.

A survey by the Basel Committee on Banking Supervision (BCBS) revealed the highest number of fintech service providers are in the payments, clearing and settlement category, followed by credit, disposal and capital-raising services.[11] Within the payments category, the majority of fintech firms were retail—rather than wholesale—payment services providers.

Whichever product category fintechs target, a good starting point is to think about how to solve problems with existing services in the market or how to deliver them in a better way for customers. Fintech startups are also expanding from some of those core banking areas into more niche products using advanced technologies such as AI and blockchain.[12]

Consumers increasingly want personalised financial products that are easy to use and access 24/7. Indeed, almost a third of financial institutions expect increasing demand for personalisation to be the most disruptive consumer behaviour trend over the next two years.[13] Having real-time visibility of data in a consistent format from a single source is essential for building in the kind of analytics and marketing tools needed to deliver this level of personalisation in financial products and services.

Think about whether your product can lower the cost of doing something, speed up the process, improve the customer experience or address accessibility and financial exclusion. Online lending platform Avant has used technology to streamline the process of taking out a loan. Dan Seikel, Director of Finance at Avant, said: "We can underwrite customers very quickly, and get cash to them as soon as the next business day."[14]

Take the example of UK fintech startup ClearPay, which identified a gap in the market that would cater to the demands of millennial consumers for new and more flexible ways to pay for goods. ClearPay enables customers to manage payments via its mobile app and to split the cost of online transactions into three equal interest-free payments.[15]

Can you then define that offering simply and clearly to the market? For example, take payments startup Square's simple one-line description: "Accept all major credit cards with your smartphone and free hardware".

[11] https://www.bis.org/bcbs/publ/d415.pdf
[12] https://www.mckinsey.com/industries/financial-services/our-insights/cutting-through-the-noise-around-financial-technology
[13] https://assets.kpmg.com/content/dam/kpmg/ch/pdf/global-fintech-benchmarking-report.pdf
[14] http://www.netsuiteblogs.com/suiteworld-2017-fintech-keynote-the-fintech-revolution
[15] https://www.manchestereveningnews.co.uk/business/business-news/finance-new-frontier-tech-14367958

4. Customer acquisition strategies.

Fintech startups have many advantages—greenfield technology, agility, lower operational costs, speed—over traditional banks and financial services institutions. But fintech startups must still develop the most important asset of any business from scratch: customers.

And the cost of acquiring new customers will be a key factor in success or failure. McKinsey points out that, as a company grows, its customer acquisition costs should decrease while gross margins increase—as eBay did by acquiring PayPal, reducing the payment provider's cost of customer acquisition by 80 percent.[16]

One major barrier to attracting new customers for fintech startups is awareness. An EY survey found that over half of non-fintech users are simply not aware of the existence of fintech services.[17] And another third say they don't need such products, with a quarter saying they prefer using a traditional bank.

According to McKinsey, however, fintech startups can attract customers from traditional banks by differentiating themselves in two key areas—convenience and speed.[18] That means paperless and frictionless digital banking with convenient features and anytime access. And the lack of an expensive and cumbersome legacy IT estate means fintech startups have lower operational costs that they can pass on to customers through more competitive pricing than traditional banks.

Of course, communicating these areas of advantage and differentiation to potential customers is also a major challenge. Given how digitally savvy many target fintech customers are, it goes without saying that any startup must have a strong brand presence on the web. That means a great website with relevant content for customers, harnessing Search Engine Management (SEM) and SEO tactics, and taking advantage of social media.

Underpinning customer acquisition is also an integrated IT platform that enables the use of sophisticated data analysis, machine learning and AI to identify and target customers more effectively and efficiently than traditional banks. And the emergence of regulation enabling open banking means companies can do more individual and personalised targeting.

[16] https://assets.kpmg.com/content/dam/kpmg/ch/pdf/global-fintech-benchmarking-report.pdf
[17] http://www.netsuiteblogs.com/suiteworld-2017-fintech-keynote-the-fintech-revolution
[18] https://www.manchestereveningnews.co.uk/business/business-news/finance-new-frontier-tech-14367958

5. Insight and feedback loops.

A slick, personalised and responsive customer experience is one of the key differentiators for fintechs in the competition against traditional banks. Maintaining that competitive edge means having a relentless focus on the customer, constantly collecting feedback and turning it into actionable insights that can be used to iterate, improve and perfect the product or service.

Capturing, categorising and prioritising this data is essential to being able to measure performance and generate the insight needed to continually improve the customer experience. This data can come from many different sources, including transactions and sales, customer feedback surveys, customer support and social media.

The key word here is 'loop'. It's all well and good collecting valuable feedback but if this data isn't continuously circulated back to the product team, it won't result in improvements in design. Once the data is captured, there needs to be a process to incorporate it into the product roadmap. And it needs to be shared to the product team, which can be done through any number of collaboration and project management tools. And that all needs to be underpinned by a modern cloud-based ERP system that is able to collect and store that data in consistent and easily accessible formats.

This kind of feedback loop is also known as co-creation, an approach taken by Citi FinTech.[19] Its Canvas beta-testing community encourages customers to take a hands-on approach to the development of features, experiences and products tailored to their lifestyle. For example, one project being developed through the platform is a line of credit that will give freelance workers faster access to working capital.

[19] https://mashable.com/2018/04/27/fintech-consumer-collaboration/?europe=true#fuQqBGM27sqE

6. Understanding how to stay compliant and work with regulators.

As with any new technology-led trend, regulation can often take some time to catch up. However, that doesn't mean fintech startups operate in a regulatory vacuum under the radar of the kind of rules that traditional financial services institutions have to play by: anti-money laundering, compliance, data protection and know-your-customer rules.

In some cases, fintechs will be subject to regulation according to the activity they are engaged in.[20] For example, challenger banks are regulated in the same way as other deposit takers. In the EU, payment firms are covered by the Payment Services Directive 2 (PSD2), and alternative finance firms engaged in the trade of transferable securities are subject to the Markets in Financial Instruments Directive (MiFID). There are also laws and regulations not specific to financial services but which fintechs are subject to, such as the EU General Data Protection Regulation.

However, regulators are keen not to stifle innovation and competition. With this in mind, the UK's Financial Conduct Authority (FCA) launched a regulatory sandbox in June 2016.[21] This is a controlled environment for firms to test new products and services that are not protected by existing regulation. This sandbox approach has also been adopted by regulators in Abu Dhabi, Australia, Hong Kong, Indonesia, Malaysia, Singapore and Thailand.

And while areas such as alternative finance and digital currencies are not yet regulated at the country or EU level, the indications are that this will change in the future. That means fintechs should bake compliance capabilities into their products and services from the start as part of a sustainable business model that can easily adapt to any changes in the regulatory landscape.

Having the structures and processes in place to gaining recognition as a financial services company will help fintech startups attract more customers. An example is Monzo, which was the first of the UK's online-only challenger banks to obtain a full banking licence. That means deposits of up to £85,000 are covered by the Financial Services Compensation Scheme, the same as for traditional banks.

And Iwoca, which makes small and micro loans to SMEs in Germany, Poland and the UK, has built a risk-assessment model based on the trading data provided by small businesses to predict future financial outlook.

Underpinning this should be a modern IT system. They need the kind of robust planning and budgeting capabilities that will drive investment, initiatives and strategy while meeting applicable regulatory oversight.

In all these cases, fintechs need an integrated ERP system that provides greater visibility of data and supports rigorous accounting, compliance and financial reporting.

[20] https://www.parliament.uk/documents/commons-committees/Exiting-the-European-Union/17-19/Sectoral Analyses/15-Fintech-Report.pdf
[21] https://www.fca.org.uk/firms/regulatory-sandbox

7. Attracting and sustaining the right type of talent.

Attracting and retaining talent is a huge challenge for fintechs as the industry continues to grow. According to research by FinTech Global, investments in fintech worldwide increased from $19.9 billion in 2014 to $39.4 billion in 2017. And this has accelerated in the first half of 2018, with $41.7 billion invested across almost 800 deals.[22]

The fintech sector is seeing increased demand in particular for skills in blockchain, statistical analysis and data mining, network information and cybersecurity, machine learning, mobile development, AI and cryptocurrency.[23]

For fintechs based in the UK, there is also the uncertainty of Brexit. Some 42 percent of the 76,500 employees in the UK fintech sector are from outside the UK and 28 percent of those are from the European Economic Area. Research by Innovative Finance, a not-for-profit body representing UK fintech firms, warns that a failure to maintain a flexible immigration policy post-Brexit could harm the attractiveness of the UK as a place to work and do business and lead to a shortfall in talent, resulting in a potential loss of £361 million to the UK fintech sector.[24]

While salary and financial rewards are still big factors in attracting talent, fintechs need to develop a range of initiatives and benefits to ensure that not only is there a pipeline of new talent coming through but that they can also retain the best people in such a competitive environment.

A study by Ryerson University into the global fintech talent shortage highlights several ways fintechs can do this.[25] These include collaborations with educational institutions to tap into the next generation of fintech talent; incubators and seed accelerator programmes with a focus on education and mentoring; and having a company culture that supports innovation.

Take UK challenger bank Atom, which is based outside of London in the north-east of the country. As part of its tech talent charter, the bank has developed strong links with local universities across the region, especially with their STEM departments, it organises career talks and advertises entry-level roles at New College Durham, and it actively promotes flexible working as part of its aim of being an attractive family-friendly employer. Atom is also a Prince's Trust Regional STEM partner and offers two-week work experience placements for young people and events to introduce young people to the world of fintech.[26]

Partnerships between fintech startups and traditional financial services institutions are another way to tap into new talent. One example is Barclays, which has an innovation centre where its internal banking and technology teams work alongside startup partners to create new products and platforms.[27]

The fintech startups that do better than their peers in recruiting and retaining talent will be able to grow and create successful businesses. Identifying and retaining top talent is paramount if fintechs want to keep their innovative edge.

[22] http://fintech.global/2018-is-already-a-record-year-for-global-fintech-investment/
[23] http://www.onrec.com/news/news-archive/uk-recruiters-say-challenger-banks-and-fintech-businesses-are-now-more-appealing
[24] https://www.innovatefinance.com/news/financial-technology-industry-calls-for-clarity-on-immigration-policy-as-new-research-reveals-potential-for-30000-new-jobs/
[25] https://www.globalbankingandfinance.com/access-to-talent-how-to-overcome-the-global-fintech-talent-shortage/
[26] https://www.atombank.co.uk/blog/2018/tech-talent-charter
[27] https://www.forbes.com/sites/oracle/2017/05/23/banks-turn-to-fintech-partnerships-to-reach-digital-natives/

8. How to expand to international markets.

Once fintechs are established in a home market, expansion overseas is an obvious next step to scale up and achieve growth.

However, as with any startup, there are challenges to international expansion. Financial industry regulations, tax, legal and labour laws vary around the world, and it can be complex for a fintech startup to get to grips with compliance in a new territory.

Most fintechs struggle during this phase of expansion, as they do not have the infrastructure to transact in multiple currencies and navigate the complex world of different tax regulations.

It's also easy to underestimate the importance of cultural differences when rolling out a financial product or service to a new country. For example, think about how mobile money payments and transfers are well established and accepted in some countries but not in others. Or how some countries such as the UK complain about bank charges, but in other regions these are accepted as normal. And there's the competition from established players in the local market to consider. These are all factors that could be critical to the success or failure of launching a fintech service in a new country.

There are also the general language and cultural issues to consider related to doing business that need to be factored into an international expansion plan.

Partnering with local financial services organisations and advisors in new countries is one well-established way of smoothing the path to international expansion. Another is to have modern, agile cloud-based ERP and financial systems in place that will lower the cost of entering new markets, scale easily, and be able to deal with local languages, regulations and currencies.

Having the right technology platform was key to US fintech startup and NetSuite customer Avant. The online lending platform started a UK subsidiary within a year of its launch and found that running the business on QuickBooks and consolidating multiple currencies on Excel wasn't going to scale. To support its international growth, Avant switched to the NetSuite OneWorld software suite, which it uses to consolidate financials, calculate other comprehensive income, do segment reporting on its now multiple subsidiaries and compile financial statements quickly.[28]

[28] http://www.netsuiteblogs.com/suiteworld-2017-fintech-keynote-the-fintech-revolution

9. Cybersecurity and data protection.

As a sector heavily reliant on handling sensitive information and using digital technologies, it's no surprise that a major issue for fintech startups is cybersecurity and the threat of data protection breaches. Fintechs are an attractive target for cybercriminals, and 56 percent of respondents to PwCs global fintech survey said information security and privacy are threats to the rise of fintech.[29]

A trend towards tougher data protection regulation around the world, as seen with the recent EU GDPR, means there is the risk of potentially catastrophic fines for security breaches and failures to adequately protect personal information.

Another issue for fintechs is the increasing use of 'alternative data'. This includes behavioural data of customers on social networks to help create psychological profiles and inform decisions on credit worthiness for those who may not have an established credit history. This kind of data gives fintechs an edge over traditional banks but also poses data protection and privacy risks, particularly around customer consent for the collection and use of that data.

There are financial services industry initiatives to help tackle the cybersecurity challenge. Following a meeting at the World Economic Forum, a consortium led by Citigroup, Zurich Insurance, Kabbage and the Depository Trust & Clearing Corporation wants to draw up a set of cybersecurity standards for fintechs to sign on to.[30]

Investing in cybersecurity systems and tools is crucial for fintech startups to both avoid falling victim to attacks and to build trust among customers and investors. And a study by law firm Simmons & Simmons found that almost three-quarters (71 percent) of large financial services firms believe better visibility of cybersecurity controls within fintech firms would improve partnering prospects.[31]

In addition to the investment in technology, it's also important to keep on top of the latest cybersecurity trends and threats. Sign up to alerts from cybersecurity law enforcement agencies and monitor online security threat information sources, such as the Open Threat Exchange and the SANS Institute. And remember that the weakest link is often your employees, so don't forget to have regular cybersecurity training for everyone across the organisation.

It is imperative to safeguard data, as any type of breach can lead to not only costly fines but reputational damage and a loss of customer trust—the kiss of death for a fintech startup.

About Oracle NetSuite

For more than 20 years, Oracle NetSuite has helped organizations grow, scale and adapt to change. NetSuite provides a suite of cloud-based applications, which includes financials/Enterprise Resource Planning (ERP), HR, professional services automation and omnichannel commerce, used by more than 15,000 customers in 203 countries and dependent territories.

[29] https://www.pwc.in/assets/pdfs/consulting/cyber-security/banking/security-challenges-in-the-evolving-fintech-landscape.pdf
[30] https://www.weforum.org/press/2018/03/world-economic-forum-convenes-new-consortium-to-address-fintech-cybersecurity/
[31] https://www.computerweekly.com/news/450416464/Cyber-security-fears-are-a-barrier-to-fintech-innovation

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